



“India’s market and its fundamentals are strong... Developments in the US, global uncertainties... so many things are happening that FPIs will move as quickly as mercury would do”

to impact India indirectly. Of course, we are keeping a watch and also being prepared in some ways. But what exactly is going to be the direct impact on India is something that I can’t speculate on.

Q: Did you have US President Donald Trump’s criticism of India in terms of tariffs in mind while preparing the Budget? Custom duties have been reduced on big motorcycles, and there are changes in the nuclear law...

A: Well, on the customs duty, I have said in the past that India cannot afford to have high tariffs. But even as we want our MSMEs to grow, if they need to import critical minerals, which we don’t have in this country, if they need some intermediary products, which we cannot produce in this country, I need to look at [how] basic customs duty (BCD) is burdening them and I need to remove it. Also, there was a lot of evergreening of duties. Anti-dumping duty imposed 30 years ago, 25 years ago, are being repeated. Even if we have had capacities within the country and didn’t need that kind of protection. I’ve clearly announced that eight rates were already removed, I am removing seven in this Budget and only eight more are pending. The rationalisation has been happening since 2022.

It is not just for the US, these measures are for any other developed country that wants to have some trade with us. We also have a conflicting situation where we have free trade agreements (FTAs) with some countries because of which there is duty-free import of the same commodity on which you have levied a huge BCD, preventing other countries from exporting to India. We had to clean all this up and that’s what has happened in this Budget.

Q: Why is the growth target for next year at 6.3-6.8%? PM Modi’s ambition of a Viksit Bharat by 2047 requires real GDP growth of more than 8%. Do we risk not reaching that target?

A: Yes, you can always point out, as though it is a ceteris paribus otherwise... [like] it’s a lab-like situation. No, you’re dealing with an ever-changing global scenario. Containers are not available; oil exports are going to be speculated upon; you also have oil from the Middle East coming back; you have America probably going into shale; there are [questions about] the relationship between Canada and US; Russia is also facing more sanctions. These are very serious matters that can have a bearing